BECOMING THE HUB OF GLOBAL AVIATION

India's aviation sector is poised for unprecedented growth, with both domestic and international passenger numbers and aircraft fleet expected to double by FY30. This rapid expansion presents a unique opportunity to establish the country as an international aviation hub



By **Kapil Kaul**

Indian aviation is set to experience once-in-a-lifetime growth which will see both the domestic and international markets more than doubling in size over the next 5-6 years. Domestic airport passenger numbers could increase from 307 million in FY24 to 600-700 million by FY30, while international traffic could go up from just under 70 million passengers to 140-160 million over the same period.

Meanwhile, the fleet of Indian carriers is similarly expected to double in size to reach around 1,400 aircraft by FY30. In short, the growth that Indian aviation has experienced in the 90+ years since J.R.D. Tata piloted Air India's first flight, will be replicated in just the next 5-6 years. This is growth at a rate that has rarely been seen in global aviation, with China being perhaps the only comparable precedent. It has the potential to transform Indian aviation—and the Indian economy—provided that we prepare for it appropriately. Attention needs to be given to ensuring that there is an enabling ecosystem in terms of institutional infrastructure, policy, regulation and skills. Developing a pipeline of trained resources across the aviation value chain will be a critical part of India's growth story.

The scope for global aviation hubs: One of the key opportunities that exists is the development of Indian airports as global hubs. A successful hub requires not only world-class airport infrastructure, but also airlines with the network, fleet, product and vision to compete for connecting traffic. Twenty years ago, India had neither. And then, as a result of the airport modernisation programme, the country's infrastructure improved beyond recognition. But the best airport in the world cannot be a successful hub without a home carrier that is intent on operating a hub.

In the past couple of years, the second piece of the puzzle is starting to come together. The privatisation of the national carrier has given birth to an Air India that seeks to become a leading global airline with an extensive international network supported by a modern widebody fleet for long- and ultra-long haul operations.

In parallel, IndiGo has been rapidly expanding its short- and medium-haul international network, as a result of which it has been attracting transfer traffic even by default. With the induction of more long-haul narrowbodies, supported now by an order for widebody equipment, IndiGo will increasingly be positioned to actively capture intercontinental traffic

THE GIANT STEPS

- **The growth that Indian aviation has experienced in the 90+ years since J.R.D. Tata piloted Air India's first flight, will be replicated in just the next 5–6 years**
- **One of the key opportunities that exists is the development of Indian airports as global hubs. A successful hub requires not only world-class airport infrastructure, but also airlines with the network, fleet, product and vision to compete for connecting traffic**
- **India's location is as good, or in some cases better, than hubs in the Gulf or Asia, to be able to provide competitive routings between Europe, the Middle East and Africa on the one hand, and Asia Pacific on the other**

Illustration by **NILANJAN DAS**